The bottleneck has moved.

A briefing on global supply chains, domestic production, and the constraint nobody is pricing in.

JUNE 12, 2026

104	2%	+29%	84.6	$1.77T
DAYS OF HORMUZ CLOSURE	OF TYPICAL TRANSIT VOLUME	CRUDE OIL VS. PRE-CRISIS	ISM PRICES PAID 4-YEAR HIGH	ANNOUNCED U.S. MFG INVESTMENT

The fourth in a series of Bound Search Partners briefings on the 2026 supply chain crisis and its consequences for U.S. manufacturing and industrial leadership.

TWO CORRIDORS, ZERO SLACK

When we published our first advisory on March 5, the question was how long the Strait of Hormuz could remain contested. One hundred and four days into the crisis, the answer is visible from orbit: transit volume is running near 2% of typical — two vessels on June 7, against roughly 138 per day before the war. More than 1,500 commercial vessels sit stranded in and around the Gulf. Crude trades near $93, roughly 29% above pre-crisis levels, and the June 10 strikes on U.S. naval facilities in Bahrain argue against near-term resolution.

DAILY VESSEL TRANSITS · STRAIT OF HORMUZ

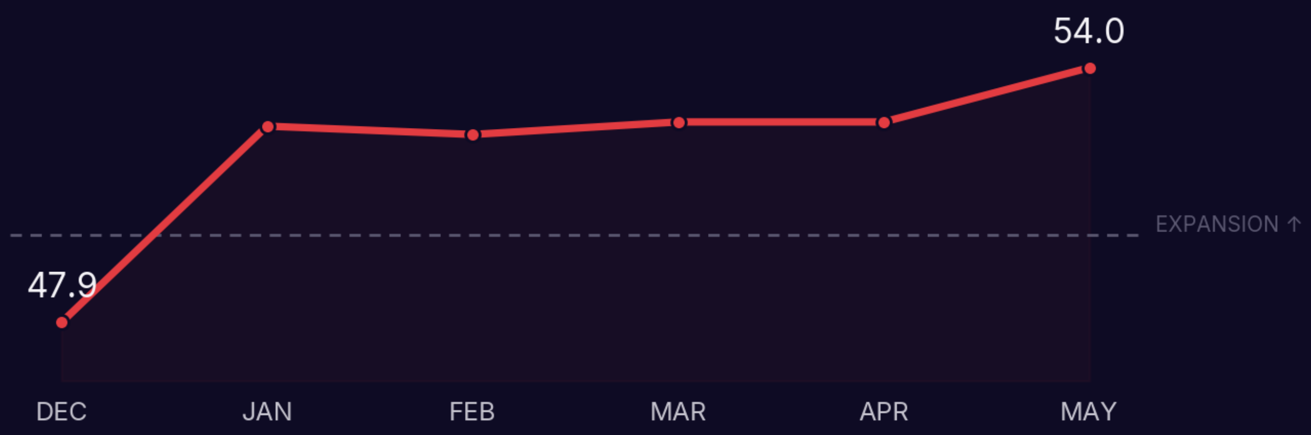
The development our April briefing could not have anticipated: the Red Sea corridor has closed again behind it. For the first time in modern history, both of the Middle East's principal maritime arteries are blocked simultaneously. Freight markets are responding the way they always do — the Drewry World Container Index is climbing, carriers have announced peak-season surcharges effective mid-June, and shippers are front-loading cargo ahead of potential U.S. tariff changes expected in July. The system has no slack left to absorb the next surprise.

> **1,500+ vessels stranded.**
> Both Middle East corridors blocked at once — a first in the modern record.

THE PARADOX AT HOME

Against that backdrop, American manufacturing just posted its strongest month in four years. The ISM Manufacturing PMI reached 54.0 in May — a fifth consecutive month of expansion, with new orders at 56.8 and production at 54.3. From December's 47.9, that is a remarkable five-month swing.

ISM MANUFACTURING PMI · DEC 2025 – MAY 2026



Look inside the number, though, and the picture complicates. The prices-paid index hit 84.6, its highest level in four years. Some share of the new-order strength reflects defensive stockpiling against tariff and shortage risk rather than organic demand. And one sub-index moved the wrong direction entirely: employment contracted — in the middle of an expansion.

> **Producing more. Paying more. Employing fewer.**
> That is not a contradiction. It is a preview.

A BUILD-OUT WITHOUT BUILDERS

Announced private-sector investment in U.S. manufacturing capacity now totals approximately $1.77 trillion — 160 companies, 37 states, concentrated in semiconductors, pharmaceuticals, critical materials, and energy systems. By commitment volume, this is the largest industrial build-out in American history.

THE BUILD-OUT GAP · CAPITAL COMMITTED VS. MANUFACTURING EMPLOYMENT

Here is what the announcements don't say: manufacturing employment is down while the capital is up. The investment is committed and the construction is real, but the organizations to run these facilities largely do not exist yet. On the ground, the shortage is already acute where it matters most — searches for controls and automation engineering leadership are stretching past sixty days, and plant-leadership benches at established operators are being raided to staff greenfield sites.

> **The capital arrived first.**
> The organizations to deploy it largely do not exist yet.

WHAT WE'RE ADVISING

01 Map the bench like a supply chain.

Identify single points of failure in plant and supply chain leadership. An irreplaceable incumbent is a sole-source supplier — treat the risk the same way.

02 Build succession ahead of need.

The cost of developing a ready successor is a rounding error against six months of an empty seat in this market.

03 Make time-to-fill a board metric.

Track it for critical operating roles alongside inventory and freight risk. Sixty-plus-day searches are becoming the baseline for technical leadership; plan to that number, not to 2023's.

04 Run the retention math now.

Greenfield projects are recruiting from operating plants. Assume your best operators are taking calls — because they are. Reprice retention before the market does it for you.

WHAT WE'RE WATCHING · Q3

JUL 1	The June ISM print. Does employment contraction deepen while activity expands — or does hiring finally follow the orders?
JULY	Anticipated U.S. tariff changes. Front-loaded inventory either unwinds into softer orders or accelerates into a scramble.
Q3	Peak-season freight against a two-corridor risk premium — whether the Drewry index climb becomes a step-change in landed cost.
LIVE	Hormuz escalation markers: naval incidents, Gulf-state posture, war-risk insurance. Resolution re-prices everything above.

THE CONSTRAINT HAS MOVED

For two years, the binding constraint on industrial strategy was logistics: routes, rates, inventory. Boards built redundancy into supply chains, dual-sourced critical inputs, and learned to price geopolitical risk into freight.

The data above describes a different bottleneck. Capacity can be financed. Cargo can be rerouted. Inventory can be front-loaded. Leadership cannot be stockpiled — and the gap between committed capital and the people who will operationalize it is now the widest in the modern record.

The implication for operators and investors is direct. Treat your leadership bench the way you learned to treat your supply chain: map single points of failure, build succession redundancy ahead of need, and track time-to-fill for critical operating roles as a risk metric — because in this market, an empty plant-manager seat is a supply disruption. The organizations that staffed ahead of the cycle will run the facilities everyone else announced.

Leadership cannot be stockpiled.

Bound Search Partners is a retained executive search firm focused exclusively on U.S. manufacturing, industrial, and supply chain leadership. If the questions above are live ones for your organization, we should talk.

Ready when you are.

boundsearch.com

Sources: IMF PortWatch · ISM Manufacturing Report (May 2026) · Drewry WCI (June 11, 2026) · IndustrialSage Investment Tracker (June 5, 2026) · public reporting.